

Gold Corporation

Statement of Corporate Intent

2025-26





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STATEMENT OF CORPORATE INTENT – 2025-26

1. INTRODUCTION

The Gold Corporation (the Corporation), trading as The Perth Mint, is a 100 per cent WA State Government (Government) owned, for-profit government trading enterprise operating in a competitive environment in the precious metal industry.

The state of the global economy impacts the international supply and demand for precious metals. As precious metals are safe-haven assets, demand for many of the Corporation's products and services tend to be inversely correlated with worldwide economic sentiment.

The COVID-19 pandemic, high levels of inflation in many of the world's biggest economies, heightened geopolitical tensions arising from major conflicts and other events, and bank failures in the US and Europe have resulted in increased demand for the Corporation's products over the financial years ended 30 June 2020 to 30 June 2023. However, trading conditions globally since mid-2023 have been soft for precious metal products, which has affected the Corporation.

2. ACTIVITIES

The Corporation is a unique vertically integrated precious metals business employing more than 700 Western Australians. It refines newly mined as well as secondary gold and silver. From that it produces a wide range of value-added bullion and numismatic products. Additionally, safe storage facilities for bullion are marketed to investors from around the world. The Corporation is the only official producer of Australian legal tender bullion coin series. It is licensed to produce Australian legal tender numismatic coins, also referred to as collector and commemorative coins. It also produces numismatic coins on behalf of other issuing authorities. Over 90 per cent of the Corporation's revenue is generated from exports and it is one of Western Australia's largest exporters.

The Corporation has consistently played a vital role in Western Australia's precious metal industry since opening as The Perth Mint in 1899. By forging relationships spanning the entire spectrum of the precious metal value chain, from miners to the delivery of physical products and investment solutions, the Corporation is uniquely positioned to promote and facilitate continued excellence in Western Australia's precious metal industry.

Aspects of the business are outlined below.

Precious Metal Refining

The Refinery, located near Perth Airport, processes the majority of Australia's gold doré production, as well as some gold produced in surrounding countries. It also refines significant amounts of silver.

Gold mines produce most of their gold in the form of doré – gold alloyed with silver and base metals. After the doré arrives at the Refinery it is weighed, melted and assayed. After these

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processes have been completed, the producer's bullion account is credited with the precious metal ounces or payment is made in cash. After the gold and silver is processed by the Refinery it is ready to be used elsewhere in the organisation or be sold to customers around the world as bullion (in bars and other forms). Failing either of these options, the gold is shipped to the bullion market in London as London Good Delivery bars.

Coins and Other Minted Products

Some of the gold and silver is manufactured into coin blanks, either for sale to other mints around the world or for use in the Corporation's own products. The latter include:

Bullion Coins

The Corporation operates as one of a handful of mints worldwide which produces bullion coins and is the sole official issuer of Australia's bullion coin program. The program consists of the gold and silver kangaroo, the silver kookaburra and koala, and the lunar gold and silver coins. The purpose of bullion coins is to provide the public and institutions a convenient way of acquiring precious metals in a form that can be trusted, is difficult to forge, is easily recognisable and is readily tradeable.

Numismatic Coins

These are also sometimes referred to as modern numismatic coins, commemorative coins or collector coins. The Corporation operates as one of two mints issuing Australian legal tender numismatic coins and it also issues coins which are legal tender of other countries. The core range of Australian numismatic coins celebrate our culture, places, history, nature, and events, and promote Australia across the world.

Minted Bars

These are popular in some markets around the world and are minted in the same way as coins. Bearing the mark of a known mint or refiner and packed in tamper proof packaging, they are another way in which precious metals can be acquired conveniently.

Depository – The Safe Storage of Precious Metals

The Depository allows customers to own precious metals with the following advantages:

- They do not have to deal with the issues associated with taking physical possession of the metal, such as transport, physical security, or insurance.
- The metal can be liquidated (sold for cash) readily and the cash remitted to the customer's nominated bank account. The customer does not have to transport the metal anywhere and can give the instruction (in an approved safe manner) to sell from the comfort of their homes.

Customers wishing to invest in precious metals in the Depository have access to the following types of products:

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Unallocated Metal

The Corporation has a liability denominated in fine ounces to the customer. It provides assurance to these customers and always ensures that it holds sufficient metal inventory to back all such liabilities. The Corporation's precious metal holdings are held in various locations: the Mint, the Refinery, other approved vaults or with bullion banks in London. The unallocated customer metal holdings are used to fund the precious metal inventory needs of the Corporation. The Corporation's London metal holdings are maintained for liquidity and transactional purposes. The main advantage for customers of unallocated metal over allocated products is that they pay no storage fees.

Allocated Metal

Specific precious metal items (coins or bars) are kept for customers in the vaults. The metal is not used by the Corporation and there is a storage charge for the service.

Pool Allocated Metal

Customers own a share in a stock of bullion bars kept in vaults. The Corporation does not use the metal and a storage charge (lower than for allocated metal) is payable.

The ways in which customers have access to these products are:

Perth Mint Certificate Program

Generally, for investors with smaller holdings.

Perth Mint Depository Services

Generally, for investors wishing to invest larger amounts.

Perth Mint Depository Online

The Depository Online platform allows registered users to buy and sell precious metals through an easy to use and secure online trading platform.

Perth Mint Gold

This is a security listed on the Australian Securities Exchange (ASX: PMGOLD).

The Shop & Exhibition

The East Perth site is home to heritage buildings, erected when the Perth Branch of the (British) Royal Mint was founded in 1899. Located in Hay Street, East Perth, the site contains the Corporation's production operations, other than the Refinery. Office space has been increased over the years with the addition of new buildings. Part of the ground floor of the original building is taken up by the Shop and Exhibition.

The Shop sells not only the Corporation's own products (such as coins and bullion bars), but other Australian goods such as natural gold nuggets, south sea pearls, opals, and pink diamonds.

The Exhibition is an award-winning tourist attraction with an array of displays telling the story of Western Australian gold. The highlights of any visit include viewing the world's largest coin,

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the 2012 Australian Kangaroo One Tonne Gold Coin, and the live gold pour. This takes place in the historic melting house, in which 200 ounces of gold is melted and poured into a bar. Visitors can also view the coin minting process through security glass.

3. OBJECTIVES

Financial objectives of the Corporation include:

- Earning a commercial return on capital.
- Meeting its capital expenditure and other cashflow requirements from its own resources.
- Paying a tax equivalent amount and a dividend to Government, with the dividend ratio preferred to be 75 per cent of after tax profit, subject to Government Policy and capital expenditure requirements.

According to the financial projections, the Corporation will achieve its financial objectives during the plan period.

Operational objectives are to:

- Continue the enhancement of safety, environmental and quality systems, and operate in a sustainable manner that acknowledges the Corporation's social and legal obligations in accordance with established environmental, social and governance protocols.
- Ensure the Corporation operates in accordance with the Government's expectations and risk appetite.
- Continue providing precious metals refining services and levels of service to the precious metals industry.
- Increase bullion coin world market share.
- Continue developing the market for numismatic coins.
- Maintain and improve the Corporation's reputation in the industry, both in Australia and overseas.
- Promote Western Australia's heritage and maintain The Perth Mint's position as a premier tourist destination.

4. PRIORITIES FOR 2025-26

Priorities for the Corporation include:

- Prioritising activities and investment in compliance to ensure the Corporation is fully compliant with all laws and regulations.
- Continuing to execute its Corporate Strategy.
- Continual improvements in the management of safety and the environment at the Corporation.
- Further development of internal governance systems and processes.

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- Ongoing enhancement of the Corporation's risk management capabilities.
- Ensuring the Corporation's commitment to sound sustainability principles is embedded in all its undertakings and decision-making processes.
- Maintaining high levels of service to refining customers to retain their business in the face of competitive pressures.
- Increased distribution of precious metal bars and coins into target markets.
- Pursuing appropriate institutional and Depository Online business.
- Actively market all components of the Corporation's business to existing and target customers.

5. CAPITAL INVESTMENT

The cost of the Corporation's Capital Investment Program for 2025-26 is \$28.88 million. It includes the following:

- The addition of new refining and casting plant and equipment (such as casting lines) to replace ageing equipment and improve the safety, efficiency and capacity of the refining and casting operations.
- The addition of new minted product manufacturing plant and equipment (such as coin presses) to replace ageing equipment and improve the safety, efficiency and capacity of the manufacturing operations.
- Continuing investment in business technology to further improve security, reduce risks, facilitate automation, centralise information management and improve the customer experience.

6. BUSINESS MANAGEMENT

Dividend Policy

The Corporation will comply with the Government's Dividend Policy, as determined from time to time by its owner, the Government. The current standing arrangement is to pay 75 per cent of after-tax profits as a dividend.

Borrowings

Although always an option, the Corporation will not seek to borrow funds from Western Australian Treasury Corporation and will seek to fund all of its capital expenditure and ordinary business operational cash flows from its own resources.

Accounting Policies

The Corporation's financial statements are prepared in accordance with Australian equivalents to International Financial Reporting Standards (AIFRS), which comprise a Framework for the

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Preparation and Presentation of Financial Statements (the Framework) and Australian Accounting Standards (including the Australian Accounting Interpretations).

The Financial Management Act 2006 and the Treasurer's Instructions are legislative provisions governing the preparation of financial statements and take precedence over the Accounting Standards, the Framework, Statements of Accounting Concepts, and other authoritative pronouncements of the Australian Accounting Standards Board.

Details of the Corporation's significant accounting policies can be found in the Notes to the Financial Statements. These policies are not expected to materially change in the 2025-26 or 2026-27 financial years.

Performance Reporting

The Chair and Board of Directors are appointed according to terms of Section 5 of the *Gold Corporation Act 1987*. One of the directors is the Assistant Under Treasurer - Agency Budgeting and Governance in the Department of Treasury as an *ex officio* board member.

The Board receives monthly reports on the performance of the Corporation and more detailed reports are tabled at board meetings.

The Board has established three committees – the Audit and Risk Management Committee, the Nominations and Remuneration Committee and the Sustainability Committee. These meet regularly as appropriate.

Regular meetings are also held with the responsible Minister, or members of their staff, during which performance and other issues are discussed.

Annual Report

The Corporation's website at www.perthmint.com promotes the organisation and its business. It also contains the annual report and other important documents. It is anticipated that the annual report for the plan year will have contents like the one currently on the website. Printed annual reports are submitted to the Minister and Department of Treasury, with the required number of copies provided for tabling in Parliament.

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APPENDIX A – FINANCIAL OUTCOMES AND BUSINESS TARGETS

	Forecast	
	2024-2025	2025-2026
Assumptions		
Gold price - USD/oz.	2,622	2,762
Exchange rate AUD/USD	0.647	0.646
Dividend policy rate: % of after-tax profit	75%	75%
Financial outcome		
Operating profit before income tax (\$000)	-7,510	14,188
Operating profit after income tax (\$000)	-5,258	8,449
Net assets/equity (\$000)	201,447	209,896
Capital expenditure (\$000)	13,986	28,884
Cash balances		
Non-restricted cash (\$000)	98,319	123,092
Restricted cash (retained dividend) (\$000)	57,025	39,595
Total cash	155,344	162,687
Accruals to Government		
Income tax (\$000)	0	0
State tax on payroll (\$000)	4,313	4,375
Dividend (for previous financial year) (\$000)	0	0
Total accrual to Government (\$000)	4,313	4,375
Non-financial KPIs		
Number of fatalities	nil	nil
Lost time injury frequency rate	nil	nil
% of workers returned to work within 26 weeks	>80%	>80%
% of managers trained in OSH & injury management	>80%	>80%
Global market share of Australian gold bullion coins	12%	12%
Coins and bars - total premium income	\$ 104.8M	\$ 104.8M
Coins and bars - premiums as a % of metal value	4.20%	4.20%
% of Australian gold doré production refined	70%	70%
Visitors to Perth Mint Exhibition	75,000	75,000
Visitors' satisfaction level	99.90%	99.90%